world's largest importer of refined silver, with imports touching $9.2 billion (Rs 88,300 crore) in 2025—a 44 per cent increase, driven by electronics, solar and EV demand, alongside rising ETF investments. "This combination—high volumes, rising values and investment-led demand immobilising metal—is precisely what alarmed policymakers," says Chainani.

THE FERTILISER FAULT LINE

If gold represents consumer behaviour, fertiliser exposes India's structural dependence. The West Asia conflict has triggered a severe disruption in global fertiliser markets. Tanker movement through the Strait of Hormuz—the passage for nearly one-third of global fertiliser trade—collapsed by over 90 per cent during the crisis. Global urea prices surged from about $510 (Rs 48,960) a tonne in February to nearly $950 (Rs 91,200) by April. Diammonium phosphate (DAP), India's second-most used fertiliser, rose sharply too.

India's challenge is threefold: import dependence, forex exposure and subsidy pressure. The numbers are stark. We import nearly all our potash, over 90 per cent of phosphate rock and 55-60 per cent of DAP requirements. Fertiliser imports frequently cost $10-20 billion (Rs 96,000 crore to Rs 1.9 lakh crore) annually. And when global prices spike, subsidy costs explode. For FY27, fertiliser support is projected to exceed Rs 2 lakh crore once again.

Experts predict that the rising costs of fuel and other commodities will hit GDP growth—by 0.8%, as per RBI; 1%, according to others—taking it down to around 6.5% this fiscal

The Hormuz crisis exposed just how vulnerable the system remains. More than 60 per cent of India's urea imports and nearly 80 per cent of ammonia and sulphur imports come from Gulf countries. Even domestic production depends on imported energy: nearly half of India's LNG supply is from the Gulf, while natural gas accounts for almost 80 per cent of urea production costs. In effect, even Indian-made fertiliser remains tied to imported energy.

Sensing the threat, the government had adopted a multi-pronged approach soon after hostilities escalated. First came aggressive stockpiling. Indian Potash Limited issued tenders for 2.5 million tonnes of urea to secure supplies before the sowing season. Import timelines were relaxed to accommodate delayed vessels. Then came a diversification drive. India rerouted imports through Russia and Morocco via the Cape of Good Hope and expanded sourcing to newer countries, including Algeria, Egypt, Indonesia, Malaysia and Canada.


AFP



CHANDRADEEP KUMAR

Meanwhile, the Union Cabinet approved a 10-21 per cent rise in support rates for non-urea fertilisers for kharif 2026, costing the exchequer another Rs 41,534 crore. The measures worked—at least in the short term. By March, fertiliser stocks had reached record levels and India appears unlikely to face shortages during the kharif season. But the solution has come at an enormous cost, and reform remains politically difficult. Urea pricing is effectively untouchable, even if heavy subsidies distort usage patterns, encouraging over-application.

HEAT FROM EDIBLE OIL

Edible oil is emerging as another area of massive concern. Every year, India spends roughly Rs 1.61 lakh crore overseas to buy edible oil it cannot grow at home, exposing a structural weakness despite years of policy intervention. India consumed 27.8 million tonnes of edible oil last fiscal, driven by rising incomes, changing diets and the